



T

THE YEAR WAS 2015. Among the many things Arun Jaitley, then the Union Finance Minister, announced in the Budget, were two sentences on a new scheme to promote the use of electric vehicles (EVs) in India.

As beginnings go, this one was quite modest. Jaitley set aside all of ₹75 crore for the first year of the scheme, later christened Faster Adoption and Manufacturing of (Hybrid &) Electric Vehicles in India, or FAME. In the first phase that ended on March 31, 2019, a total of ₹895 crore was spent.

79

And that's when the Centre decided to raise the stakes. For the second phase, FAME II, the outlay was increased to ₹10,000 crore. It proved popular, and the government hiked the demand incentive for electric two-wheelers to ₹15,000 per kilowatt hour (kWh) of battery or up to 40 per cent of the cost of an electric scooter, up from ₹10,000 per kWh. The idea was simple: The government would provide incentives to buyers in the form of an upfront reduction in the purchasing price of EVs. Till the end of December 2022, a total of 743,000 electric vehicles were

2021

▶ Incentive for two-wheelers raised to ₹15,000 per kWh, with a proviso that it cannot exceed 40 per cent of vehicle cost

MAY 2023

▶ Government slashes 40 per cent maximum incentive rate to a cap of 15 per cent